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Case Number: 26STCV10511 Hearing Date: July 13, 2026 Dept: 509

Anne B Sergi v. William B Schultes, et al.

(1) DEMURRER TO FIRST AMENDED COMPLAINT

(2) MOTION TO STRIKE

MOVING PARTY: Defendants Sotheby's International Realty, Inc and Sheila Lynne Tuchin

RESPONDING PARTY(S): Plaintiff Anne Sergi

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

Plaintiff Anne Sergi (Plaintiff) brings this action against defendants William B. Schultes; Sotheby's International Realty Inc; Sheila Lynne Tuchin; and Shaun Seeram regarding a dispute arising from her residential lease. Plaintiff brings causes of action for: (1) violation of Los Angeles Municipal Code § 51.00, et seq. - Rent Stabilization and Tenant Anti-Harassment Ordinances; (2) constructive fraud (Civ. Code, § 1573); (3) intentional misrepresentation; (4) negligent misrepresentation; (5) violation of Civil Code §1950.5 – bad faith retention of security deposit; (6) breach of contract; (7) conversion; (8) unfair business practices - equitable restitutionary disgorgement; and (9) breach of implied covenant of good faith and fair dealing

Defendants Sotheby's International Realty, Inc and Sheila Lynne Tuchin (Moving Defendants) now demur to the first, second, third, fourth, eighth, and ninth causes of action in the first amended complaint (FAC) and move to strike portions within. Plaintiff opposed.

TENTATIVE RULING:

Moving Defendants' Demurrer to the Ninth Cause of Action (breach of implied covenant of good faith and fair dealing) is SUSTAINED WITHOUT LEAVE TO AMEND.

Moving Defendants' Demurrer to the First (violation of Los Angeles Municipal Code § 51.00), Second (Constructive Fraud), Third (Intentional Misrepresentation), Fourth (Negligent Misrepresentation), and Eighth (Unfair Business Practices) Cause of Action is SUSTAINED.

Whether leave to amend is granted will depend on whether Plaintiff can make an adequate offer of proof at the hearing that a successful amendment is reasonably possible.

Moving Defendants' Motion to Strike is MOOT.

Moving parties are ordered to give notice, unless waived.

DISCUSSION:

Demurrer to First Amended Complaint

I. Meet and Confer

The Declaration of attorney Charles A. Mollis reflects the meet and confer requirement was satisfied.

II. Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or by proper judicial notice. (Code Civ. Pro. § 430.30, subd. (a).) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. (SKF Farms v. Superior Court (1984) 153 Cal.App.3d 902, 905.) Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. (Ibid.) The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action. (Hahn, at p. 747.) "We treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law." (Serrano v. Priest (1971) 5 Cal.App.3d 584, 591.) A "demurrer does not, however, admit contentions, deductions or conclusions of fact or law alleged in the pleading, or the construction of instruments pleaded, or facts impossible in law." (S. Shore Land Co. v. Petersen (1964) 226 Cal.App.2d 725, 732 (internal citations omitted).)

III. Analysis

Moving Defendants demur to all causes of action in the FAC.

As an initial note, the Court OVERRULES Moving Defendants' demurrer for uncertainty on the grounds that (a) demurrers for uncertainty are disfavored and should only be sustained where the complaint is so uncertain that the demurring defendant cannot reasonably respond thereto (see, e.g., Khoury v. Maly's of Calif., Inc. (1993) 14 Cal.App.4th 612, 616); and (b) here, Plaintiff's complaint is not so uncertain that Moving Defendants cannot reasonably respond thereto. Moreover, even if the pleading is somewhat vague, "ambiguities can be clarified under modern discovery procedures." (Ibid.)

The Court addresses the remaining arguments as to each cause of action in turn.

A. First Cause of Action (Violation of Los Angeles Municipal Code § 151 et seq.)

Los Angeles Municipal Code, section 151.10(A), states: "Any person who demands, accepts or retains any payment of rent in excess of the maximum rent or maximum adjusted rent in violation of the provisions of this chapter ... shall be liable in a civil action to the person from whom such payment is demanded, accepted or retained for damages of three times the amount by which the payment or payments demanded, accepted or retained exceed the maximum rent or maximum adjusted rent which could be lawfully demanded, accepted or retained together with reasonable attorneys' fees and costs as determined by the court." (See *Carter v. Cohen* (2010) 188 Cal.App.4th 1038, 1044.)

However, here, the FAC does not allege the Moving Defendants demanded, accepted, nor retained any payment of rent. (See FAC ¶¶59-62.)

In opposition, Plaintiff alleges Los Angeles Municipal Code, section 45.32 defines "landlord" in a way that captures Moving Defendants. However, LAMC, section 151.10(A) does not invoke the definition of landlords but provides its own specific limitation for liability under this section. LAMC, section 151.10(A) is very specific to "[a]ny person who demands, accepts or retains any payment of rent." Moving Defendants are not alleged to have demanded, accepted, or retained payment of rent and therefore this cause of action fails as a matter of law.

Accordingly, Moving Defendants' demurrer to the first cause of action is SUSTAINED.

Generally, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (*Ibid.*; *Lewis v. YouTube, LLC* (2015) 244 Cal.App.4th 118, 226.) Whether leave to amend is granted will depend on whether Plaintiff can make an adequate offer of proof at the hearing that a successful amendment is reasonably possible.

B. Second Cause of Action (Constructive Fraud)

"The elements of the cause of action for constructive fraud are: (1) fiduciary relationship; (2) nondisclosure (breach of fiduciary duty); (3) intent to deceive, and (4) reliance and resulting injury (causation)." (*Younan v. Equifax Inc.* (1980) 111 Cal.App.3d 498, 516 n. 14.) "As a general principle constructive fraud comprises any act, omission or concealment involving a breach of legal or equitable duty, trust or confidence which results in damage to another even though the conduct is not otherwise fraudulent." (*Assilzadeh v. California Federal Bank* (2000) 82 Cal.App.4th 399, 415.) "Most acts by an agent in breach of his fiduciary duties constitute constructive fraud." (*Ibid.*) "The failure of the fiduciary to disclose a material fact to his principal which might affect the fiduciary's motives or the principal's decision, which is known (or should be known) to the fiduciary, may constitute constructive fraud." (*Ibid.*) "Also, a careless misstatement may constitute constructive fraud even though there is no fraudulent intent." (*Ibid.*) "It is clear, therefore, that whether a fiduciary duty has been breached, and whether a statement constitutes constructive or actual fraud, depends on the facts and circumstances of each case." (*Ibid.*) "Consequently, there is no clear line establishing when a fiduciary's breach of the duty of care will be merely negligent and when it may be characterized as constructive fraud." (*Salahutdin v. Valley of California, Inc.* (1994) 24 Cal.App.4th 555, 564.) "However, a breach of a fiduciary duty usually constitutes constructive fraud." (emphasis in original) (*Ibid.*)

"[A] broker's fiduciary duty to his client requires the highest good faith and undivided service and loyalty." (*Field v. Century 21 Klowden-Forness Realty* (1998) 63 Cal.App.4th 18, 25.) A broker has a fiduciary duty to learn the material facts that may affect the principal's decision and to counsel and advise the principal regarding the propriety and ramifications of the decision. (*Ibid.*) "The agent's duty to disclose material information to the principal includes the duty to disclose reasonably obtainable material information." (*Ibid.*) "The facts that a broker must learn, and the advice and counsel required of the broker, depend on the facts of each transaction, the knowledge and the experience of the principal, the questions asked by the principal, and the nature of the property and the terms of sale." (*Ibid.*) "The broker must place himself in the position of the principal and ask himself the type of information required for the principal to make a well-informed decision." (*Ibid.*) "This obligation requires investigation of facts not known to the agent and disclosure of all material facts that might reasonably be discovered." (*Id.* at pp. 25-26.)

Here, Plaintiff alleges Moving Defendants breached this relationship by failing to “provide PLAINTIFF with mandated PROPERTY registrations proving the PROPERTY was legally permitted to collect rent and notice of the PROPERTY being subject to the RSO and TAHO which sets forth PLAINTIFF’s rights and protections under those ordinances.” (FAC ¶98.) “As PLAINTIFF’s fiduciary, SOTHEBY’S, SEERAM, and TUCHIN (agents per the LEASE at paragraph 41) owed her the utmost duty of care.” (FAC ¶95.) “SOTHEBY’S, TUCHIN, and SEERAM misled PLAINTIFF by facilitating leasing activity contrary to RSO and TAHO and the intended protections thereof; and, [¶] PLAINTIFF was harmed.” (FAC ¶¶99-100.) “As a direct and proximate result of SOTHEBY’S, TUCHIN, SEERAM’s conduct, PLAINTIFF’s civil rights under Los Angeles ordinances were violated. PLAINTIFF’s rights to truthful disclosures were violated depriving her of opportunity to make informed decisions when entering the LEASE and again when presented with a LEASE buyout (a no-fault eviction).” (FAC ¶101.) “PLAINTIFF suffered emotional distress, shame, and a loss of trust stemming from the betrayal and manipulation of DEFENDANTS’ deceptions, incurred costs of more than \$31,500.00 (\$24,500 of rental payments, \$7,000 for security deposit) for moving into and out of the non-compliant PROPERTY; and unknowingly forfeited relocation assistance she was entitled to.” (FAC ¶102.)

First, a failure to disclose Los Angeles Municipal Code provisions is not a breach of Moving Defendants’ fiduciary duty to Plaintiff. While Moving Defendants were required to disclose all material facts known at the time of transaction, this does not extend into a broad duty to disclose all applicable laws. (Field v. Century 21 Klowden-Forness Realty (1998) 63 Cal.App.4th 18, 26 [“a broker’s fiduciary duty may be much broader than the duty to visually inspect and may include a duty to inspect public records or permits concerning title or use of the property.”]) Further, Plaintiff acknowledges that Moving Defendants “cannot provide legal or tax advice.” (FAC, Exh. B at \$47(c).) Instead, it appears here, that Plaintiff seeks to impose the duty of a landlord to provide specific disclosures under the Los Angeles Municipal code unto Moving Defendants’ here. However, Plaintiff, in opposition and in the FAC, fails to specify what provision of the Los Angeles Municipal Code would apply to a tenant’s agent during the process of executing a lease agreement. Moving Defendants appear to be under no duty to disclose these provisions to Plaintiff at the time of the execution of the lease.

Second, even assuming Moving Defendants breached their fiduciary duty, Plaintiff alleges insufficient factual allegation to demonstrate reliance and resulting injury (causation). Plaintiff asserts the lack of disclosure deprived “her of opportunity to make informed decisions when entering the LEASE and again when presented with a LEASE buyout (a no-fault eviction).” (FAC ¶101.) However, there is no allegation that Plaintiff would have made any different decision had Moving Defendants disclosed the property was “subject to the RSO and TAHO.” (FAC ¶98.) There are no allegations that Plaintiff would not have signed the lease or lease buyout had Moving Defendants made such representations. Instead, Plaintiff merely states that Moving Defendants “deprived her of opportunity to make informed decisions.” (FAC ¶101.) This is insufficient to demonstrate reliance and resulting injury.

Accordingly, Moving Defendants’ demurrer to the second cause of action is SUSTAINED.

Generally, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Ibid.; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 226.) Whether leave to amend is granted will depend on whether Plaintiff can make an adequate offer of proof at the hearing that a successful amendment is reasonably possible.

C. Third and Fourth Causes of Action (Intentional Misrepresentation and Negligent Misrepresentation)

The elements of fraud are: “(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or ‘scienter’); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.” (Charnay v. Cobert (2006) 145 Cal.App.4th 170, 184.) In California, fraud, including negligent misrepresentation, must be pled with specificity. (Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 184.) “The particularity demands that a plaintiff plead facts which show how, when, where, to whom, and by what means the representations were tendered.” (Cansino v. Bank of America (2014) 224 Cal.App.4th 1462, 1469.)

Here, Plaintiff fails to plead these causes of action with the requisite specificity. Plaintiff simply lumps all defendants into a single entity and makes broad allegations without alleging how, when, where, to whom, and by what means the representations were tendered. (See e.g. FAC ¶¶105-106, 118-119.) For example, Plaintiff alleges “DEFENDANTS

represented to PLAINTIFF that (1) the PROPERTY was legally permitted to collect rent; and, (2) that SCHULTES was moving back into the PROPERTY eight months after LEASE commencement because he could no longer afford the expenses of leasing the PROPERTY.” (FAC ¶118.) “DEFENDANTS’ representations were not true.” (FAC ¶119.) “DEFENDANTS” is defined as every defendant, including the doe defendants, in this action. (FAC at p. 1:1-5.) Given the number of defendants in this action and the specificity required for causes of action for fraud, Plaintiff’s causes of action fail as a matter of law.

Accordingly, Moving Defendants’ demurrer to the third and fourth causes of action is SUSTAINED.

Generally, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Ibid.; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 226.) Whether leave to amend is granted will depend on whether Plaintiff can make an adequate offer of proof at the hearing that a successful amendment is reasonably possible.

D. Eighth Cause of Action (Unfair Business Practices Under Bus. & Prof. Code § 17200, et seq.)

Business and Professions Code, section 17200 prohibits “any unlawful, unfair or fraudulent business act or practice.” (Bus. & Prof. Code § 17200; see Clark v. Superior Court (2010) 50 Cal.4th 605, 610.) A violation of other laws is deemed independently actionable under the UCL. (See Law Offices of Mathew Higbee v. Expungement Assistance Services (2013) 214 Cal.App.4th 544, 554.) “Virtually any law, federal, state or local, can serve as a predicate for a section 17200 action.” (Ibid. (quoting Troyk v. Farmers Group, Inc. (2009) 171 Cal.App.4th 1305, 1335).) To establish a fraudulent practice under the UCL, the plaintiff must show that members of the public are likely to be deceived. (See West v. JP Morgan Chase Bank, N.A. (2013) 214 Cal.App.4th 780, 806.) “A business practice is unfair within the meaning of the UCL if it violates established public policy or if it is immoral, unethical, oppressive or unscrupulous and causes injury to consumers which outweighs its benefits.” (McKell v. Washington Mutual, Inc. (2006) 142 Cal.App.4th 1457, 1473.) Further, statutory claims must be pled with particularity. (Carter v. Prime Healthcare Paradise Valley LLC (2011) 198 Cal.App.4th 396, 410.) A cause of action for unfair competition “is not an all-purpose substitute for a tort or contract action.” (Cortez v. Purolator Air Filtration Products Co. (2000) 23 Cal.4th 163, 173.)

Here, Plaintiff alleges, “DEFENDANTS’ acts and practices, as described herein, constitute unlawful or unfair business practices against PLAINTIFF in violation of California Business and Professions Code section 17200, et seq.” (FAC ¶177.)

These allegations are deficient. This is merely a restatement of prior causes of action. Plaintiff is attempting to use this cause of action as a “all-purpose substitute for a tort or contract action” instead of alleging an independent cause of action. (Cortez v. Purolator Air Filtration Products Co., supra, 23 Cal.4th at p. 173.) Therefore, the complaint does not allege sufficient facts to support a cause of action for violation of Business and Professions Code, section 17200.

Accordingly, Moving Defendants’ demurrer to the eighth cause of action is SUSTAINED.

Generally, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Ibid.; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 226.) Whether leave to amend is granted will depend on whether Plaintiff can make an adequate offer of proof at the hearing that a successful amendment is reasonably possible.

E. Ninth Cause of Action (Breach of the Implied Covenant of Good Faith and Fair Dealing)

The elements for breach of the implied covenant of good faith and fair dealing are: (1) existence of a contract between plaintiff and defendant; (2) plaintiff performed his contractual obligations or was excused from performing them; (3) the

conditions requiring defendant's performance had occurred; (4) the defendant unfairly interfered with the plaintiff's right to receive the benefits of the contract; and (5) the plaintiff was harmed by the defendant's conduct. (Merced Irr. Dist. V. County of Mariposa (E.D. Cal. 2013) 941 F.Supp.2d 1237, 1280 (discussing California law).) Allegations must demonstrate defendant's conduct for failure or refusal to discharge contractual responsibilities was a conscious and deliberate act, not an honest mistake, bad judgment or negligence. (Ibid.) "[T]he implied covenant of good faith and fair dealing is limited to assuring compliance with the express terms of the contract, and cannot be extended to create obligations not contemplated by the contract." (Ragland v. U.S. Bank Nat. Assn. (2012) 209 Cal.App.4th 182, 206 (quoting Pasadena Live v. City of Pasadena (2004) 114 Cal.App.4th 1089, 1094).)

Plaintiffs allege "DEFENDANTS breached the implied covenant of good faith and fair dealing arising out of the LEASE by, unreasonably and in bad faith, denying PLAINTIFF information about the PROPERTY relevant to her rights as a tenant." (FAC ¶183.)

This cause of action fails as a matter of law. First, Moving Defendants are not parties to the contract. (FAC, Exh. B.) Second, there are no allegations that Moving Defendants interferes with the plaintiff's right to receive the benefits of the contract. All allegations simply assert violations of duty arising from local statute, not from any implied contractual terms.

In opposition, Plaintiff states "The FAC alleges that Tuchin and Seeram were dual agents for Plaintiff and Schultes," (Opp at p. 13:26.) However, "agent defendants may not be held liable under the implied warranty theory, causes of action may be stated against them in tort. [¶] Since the suit for breach of the implied warranty is essentially a contractual one, the trial court correctly ruled the agents could not be held liable on the breach of warranty because an agent is ordinarily not liable on the contract when he acts on behalf of a disclosed principal." (Stoiber v. Honeychuck (1980) 101 Cal.App.3d 903, 929.) As the breach of implied covenant of good faith and fair dealing is a contractual action like a breach of the implied warranty of habitability, this cause of action fails as a matter of law even if Plaintiff successfully proves Moving Defendants were acting as agents of the landlord.

Accordingly, Moving Defendants' demurrer to the ninth cause of action is SUSTAINED WITHOUT LEAVE TO AMEND.

Motion to Strike

I. Legal Standard

A motion to strike lies either (1) to strike any irrelevant, false or improper matter inserted in any pleading; or (2) to strike any pleading or part thereof not drawn or filed in conformity with the laws of this state, a court rule or order of court. (Code Civ. Pro § 436.)

II. Analysis

As the concurrent demurrer has been sustained to all causes of action alleged against the Moving Defendants, the motion to strike is MOOT.

Accordingly, Moving Defendants' motion to strike is MOOT.

IT IS SO ORDERED.

Dated: July 13, 2026 _____

Randolph M. Hammock

Judge of the Superior Court